

Predicted Paper – Advanced Difficulty

A Level Economics

H460/01 Microeconomics

Time allowed: 2 hours

You can use:

- a scientific or graphical calculator

Please write clearly in black ink. **Do not write in the barcodes.**

Centre number

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 Candidate number

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First name(s) _____

Last name _____

INSTRUCTIONS

- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided. If you need extra space use the lined pages at the end of this booklet. The question numbers must be clearly shown.
- Answer **all** the questions in Section A, **one** question in Section B and **one** question in Section C.

INFORMATION

- The total mark for this paper is **80**.
- The marks for each question are shown in brackets [].
- Quality of extended response will be assessed in questions marked with an asterisk (*).
- This document has **20** pages.

ADVICE

- Read each question carefully before you start your answer.

Section A

Read the stimulus material and answer **all** the parts of Question 1.

Is competition in the UK grocery market working for households?

The UK grocery sector is one of the most significant retail markets in the country, with annual sales of over £240bn. The 'Big Four' – Tesco, Sainsbury's, Asda and Morrisons – have historically dominated the market. However, the last decade has seen the rapid growth of German discounters Aldi and Lidl, whose combined UK market share rose from around 9.7% in 2015 to 18.3% in early 2024. 5

Between 2021 and 2023, UK grocery price inflation rose sharply, peaking at 17.5% in March 2023 – the highest level since the 1970s. In May 2023 the Competition and Markets Authority (CMA) launched an investigation into alleged 'greedflation', examining whether grocery retailers used rising input costs as cover for increasing their profit margins beyond what was needed. 10

Fig. 1

UK grocery retailer market shares, 2015 – 2024 (% of 12-week grocery sales)

Retailer	2015	2019	2024
Tesco	28.4	27.3	27.6
Sainsbury's	16.5	15.0	15.2
Asda	16.6	14.9	13.3
Morrisons	10.9	10.3	8.6
Aldi	5.6	8.1	10.1
Lidl	4.1	5.9	8.2
Other (inc. Waitrose, Co-op, Iceland)	17.9	18.5	17.0

The CMA's 2023 update into the grocery sector concluded that competition was 'broadly working', but flagged concerns about the pricing of branded goods by some major manufacturers, the complexity of loyalty-scheme pricing, and unit-pricing transparency. Loyalty schemes such as Tesco Clubcard Prices and Sainsbury's Nectar Prices now apply to over 8,000 products. 15

Barriers to entry into UK grocery include access to prime real estate, economies of scale, sophisticated supply-chain technology and national distribution networks. Exit, however, is also costly – Morrisons was acquired by private equity firm CD&R for £7bn in 2021, and online grocer Ocado reported cumulative losses of over £500m between 2020 and 2023. 20

Fig. 2

UK grocery price inflation and Big Four operating margins, 2020 – 2024

Year	Annual grocery price inflation (%)	Average Big Four operating margin (%)
2020	1.9	3.4
2021	2.1	3.5
2022	9.3	2.6
2023	14.1	2.8
2024 (est.)	2.2	3.1

While some economists argue that the growth of Aldi and Lidl and the threat of online grocers shows the UK market is highly contestable, others point to the persistence of the Big Four and the stability of their combined market share as evidence of significant market power, tacit coordination on pricing, and collusive behaviour over supplier terms and shelf space. 25

1

(a) Explain what is meant by a 'contestable market'.

..... [2]

(b) Explain, using an appropriate diagram, the likely effect of the expansion of Aldi and Lidl on the pricing behaviour of the Big Four supermarkets.

..... [4]

(c) Refer to Fig. 1.

(i) Calculate the combined percentage-point change in the market share of Aldi and Lidl between 2015 and 2024.

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..... [2]

(ii) Calculate, to one decimal place, the four-firm concentration ratio for the UK grocery market in 2024 using the four retailers with the largest market shares in Fig. 1.

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..... [2]

- (d)** "the Competition and Markets Authority (CMA) launched an investigation into alleged 'greedflation'." **Lines 11–13.**

Evaluate, using evidence from the stimulus material, the effectiveness of CMA investigations in reducing anti-competitive behaviour in UK markets.

[8]

- (e)*** Evaluate, using evidence from the stimulus material, the extent to which the UK grocery market can be considered to be contestable. **[12]**

[illegible]

Section B

Answer Question **2** or Question **3**.

- 2*** UK supermarket loyalty schemes such as Tesco Clubcard Prices and Sainsbury's Nectar Prices offer lower prices to members on over 8,000 products. Rail operators, airlines, cinemas and utility companies also use a wide range of price-discrimination strategies.

Evaluate, using an appropriate diagram(s), whether price discrimination benefits consumers.

[25]

OR

- 3*** Economic theory suggests that contestable markets may produce better outcomes for consumers than traditional oligopolies, even when only a small number of firms are present in each market.

Evaluate, using an appropriate diagram(s), whether contestable markets lead to better outcomes for consumers than oligopolies.

[25]

Question No.

Section C

Answer Question 4 or Question 5.

- 4*** In 2021 Morrisons was taken private by US private equity firm Clayton, Dubilier & Rice for £7bn. More broadly, since the 1980s the UK has privatised over 50 major state-owned enterprises, including British Gas, British Telecom, the water authorities, British Rail, and Royal Mail.

Evaluate, using an appropriate diagram(s), whether privatisation improves economic efficiency.

[25]

OR

- 5*** The UK population is ageing. The Office for National Statistics projects that by 2045, over 24% of the UK population will be aged 65 or older, compared with around 19% today. Increased life expectancy, lower birth rates and the retirement of the 'baby boomer' generation are already affecting UK labour markets.

Evaluate, using an appropriate diagram(s), the likely impact of an ageing population on UK labour markets.

[25]

Question No.

ADDITIONAL ANSWER SPACE

If you need extra space, continue your answer on these lined pages. Write the question number clearly at the start of your answer.

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